

is also where the rim of the icup formed. When the downward breakout occurred, price ran into stiff support and stopped declining 3% below the breakout.

This is a good example of how important stops are when trading short. After opening a short position, place a stop just above the prior minor high or above a nearby resistance zone. Do not place it too close or you will be stopped out on normal price volatility. Using a stop would have saved a trader from an embarrassing loss.

Triarc Cos, Inc. A (Restaurant, NYSE, TRY)

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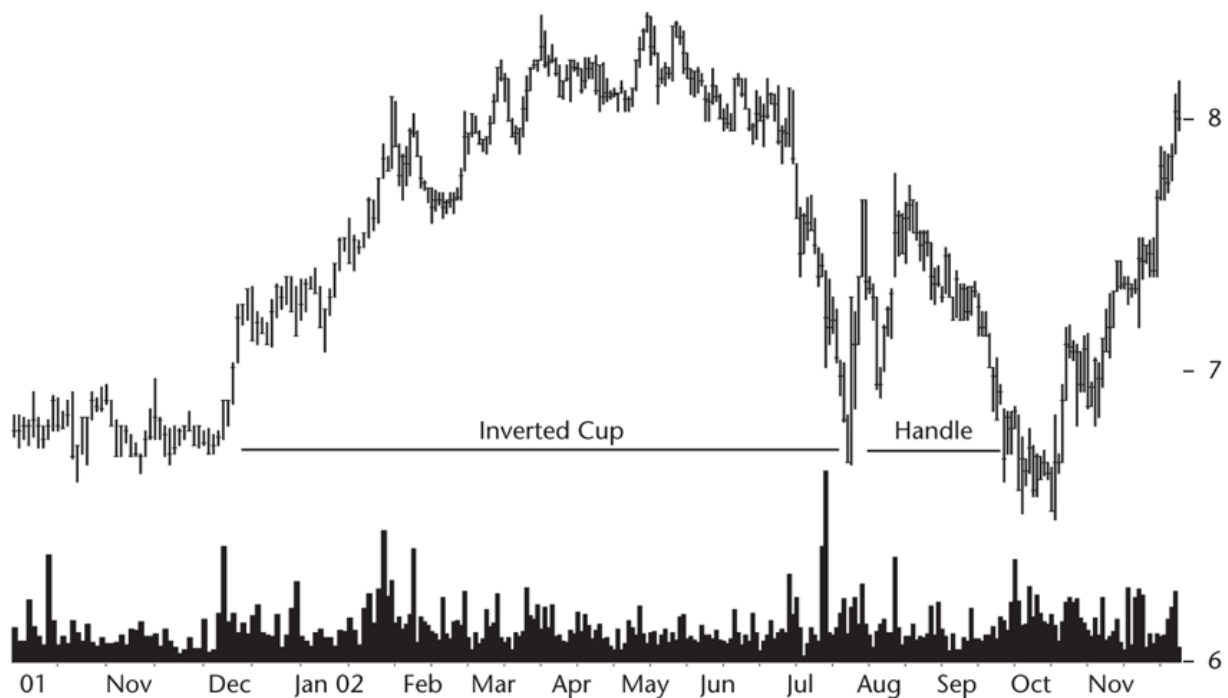


Figure 22.5 A large flat base before the start of the cup supported price and stopped the decline.

Why do these patterns fail? No one knows for sure and the reason varies from pattern to pattern. A good earnings report, one that beats expectations, will send a stock higher. Other fundamental factors such as good same-store sales, the win of a new contract, or even a takeover bid by another company will stop a decline.